

Mid-Term Feedback

A. Instructions (1 Unclear -10 Very Clear): 9

B. Questions (1 Unclear -10 Very Clear): 9

C. Difficulty (1 Very Difficult – 10 Very Easy): 5.5 Moderate

D. Time (1 Very less - 10 Plenty): 6

MCQ for endsem, no negative marking, home preferred, cheat sheet not allowed, discuss answers, partial marking, self brought calculator

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Singling Out on the Singular Matrix

Sir if $p \gg n$, the matrix is not square.

So how can we comment on it being singular?

sir one of the reason it could if rows/columns is become

linearly dependent when P is large kind of over-parameterize .

then it can become singular

Singling Out on the Singular Matrix

A singular matrix is one for which inverse does not exist

- ❖ Further singularity applies only to square matrices
- ❖ By definition, a matrix is singular if $\det(A)=0$.
- ❖ Calculating the inverse of a matrix requires dividing by its determinant ($A^{-1}=\text{adj}(A)/\det(A)$), division by zero is undefined, making it impossible for an inverse to exist.

Singularity applies only to square matrices

- ❖ Concepts of determinants & standard matrix inverses are strictly defined only for square matrices ($n \times n$).
- ❖ Since non-square matrices do not have a determinant, they cannot be classified as singular or non-singular

How can a Rectangular Matrix Be(come) Singular?

While a rectangular design matrix X technically cannot be "singular" in the literal sense (since singularity is mathematically reserved for square matrices), it exhibits the **exact equivalent of singularity** in regression.

In linear regression, this equivalent condition is called being **rank-deficient**, which triggers actual singularity in the underlying math. Here is **how** and **when** it happens.

1. How It Happens (The Mathematical "How")

In ordinary least squares (OLS) linear regression, the goal is to solve for the vector of coefficients ($\hat{\beta}$) using the **normal equations**:

$$\hat{\beta} = (X^T X)^{-1} X^T y$$

How can a Rectangular Matrix Be(come) Singular?

Here is the chain reaction:

1. X is a rectangular matrix of size $n \times p$ (where n is the number of observations/rows, and p is the number of features/columns).
2. To find the regression coefficients, the computer must compute $X^T X$, which is a **square matrix** of size $p \times p$.
3. If the rectangular matrix X is **rank-deficient** (meaning its columns are not completely independent), the square matrix $X^T X$ becomes **perfectly singular** ($\det(X^T X) = 0$).
4. Because $X^T X$ is singular, **it cannot be inverted**. The software crashes or outputs errors

When can a Rectangular Matrix Be(come) Singular?

2. When It Happens (The Statistical "When")

A rectangular matrix will lose its full rank and cause singularity in two primary scenarios:

Scenario A: Perfect Multicollinearity (Redundant Features)

This occurs when one or more columns in your dataset can be perfectly predicted by a linear combination of the other columns. [DataCamp](#)

- **The Dummy Variable Trap:** If you have a categorical variable like "Gender" (Male/Female) and you include an intercept column, a "Male" column, *and* a "Female" column, the matrix becomes singular. This is because $\text{Male} + \text{Female} = 1$ (the intercept). One column is mathematically redundant.
- **Duplicate or Scaled Features:** Including the same data in different units—such as a column for `Weight_in_Pounds` and another for `Weight_in_Kilograms`. Since one is just a scalar multiple of the other ($1 \text{ kg} = 2.2 \text{ lbs}$), the columns are linearly dependent.
- **Sum Constraints:** If you include features that always add up to a constant total (e.g., `Research_Budget`, `Marketing_Budget`, and `Operations_Budget` where the three always equal `Total_Budget`), the columns will be linearly dependent.

When can a Rectangular Matrix Be(come) Singular?

Scenario B: The "High-Dimensional" Problem ($p > n$)

This happens when you try to estimate more parameters than you have observations.

- If you have 100 features ($p = 100$) but only 50 rows of data ($n = 50$), the maximum possible rank of your rectangular matrix X is capped at 50.
- Because the rank (50) is less than the number of features (100), the columns are inherently forced to be linearly dependent. The square matrix $X^T X$ will automatically be singular.

How It Is Fixed

When a rectangular matrix faces this issue, data scientists bypass it by dropping the redundant features, gathering more data rows, or using **Regularization (Ridge/Lasso)**, which artificially adds a small value to the diagonal of $X^T X$ to force it to become non-singular and invertible.

Too Much Correlation

"On the 'Demonstration of Variance-Covariance Principles' slide (Slide No. 2 of VarCovProblems_pyLinks.pptx), the sample problem lists a correlation coefficient value of '1.03'. If the correlation coefficient is equal to or greater than 1 (≥ 1), it should form a straight line rather than an ellipse, right? Could you kindly check this sample problem from the shared slide? Thanks in advance"

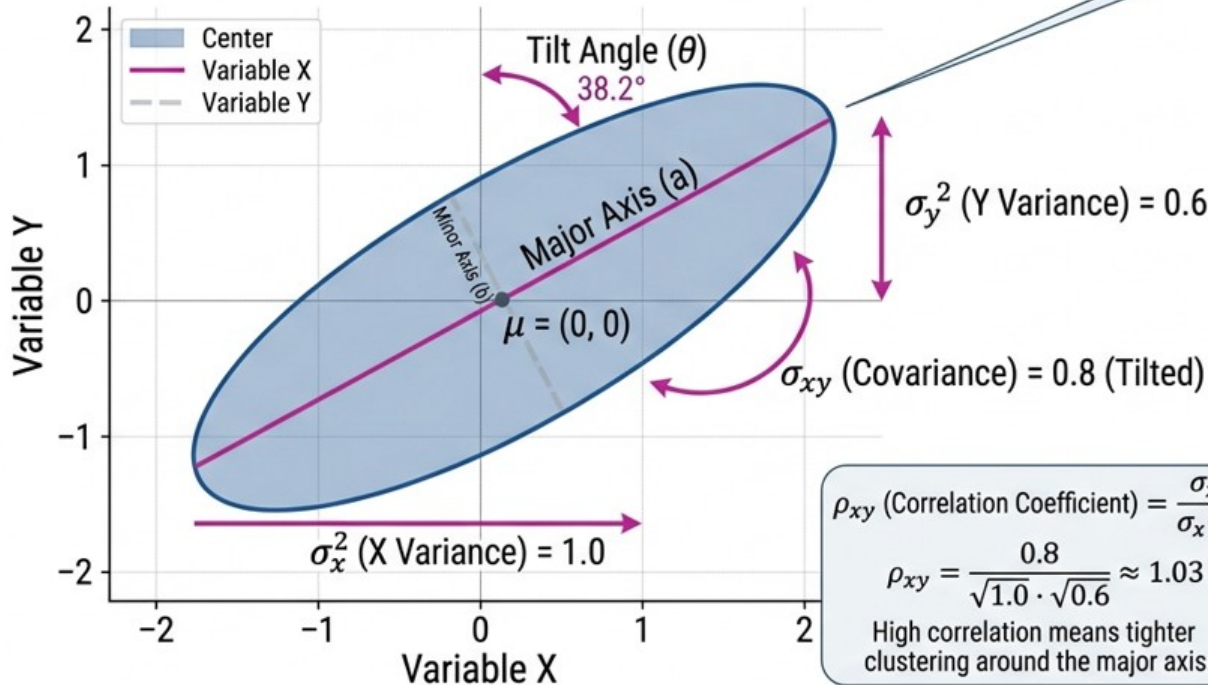
Demonstration of Variance-Covariance Principles

VISUALIZING THE COVARIANCE MATRIX IN 2D: VARIABLE CORRELATION & ELLIPSOID GEOMETRY

$$\Sigma = \begin{vmatrix} \sigma_x^2 & \sigma_{xy} \\ \sigma_{yx} & \sigma_y^2 \end{vmatrix}$$

$$\text{EXAMPLE } \Sigma = \begin{vmatrix} 1.0 & 0.8 \\ 0.8 & 0.6 \end{vmatrix}$$

Tilt indicates non-zero covariance (correlation).
Larger values mean more elongation.



- Confidence Ellipse
- Major Axis (a)
- Minor Axis (b), Ellipse

ELLIPSE PROPERTIES

- Center: μ
- Axes Half-lengths:
 $a = \sqrt{\lambda_1}$, $b = \sqrt{\lambda_2}$
(where λ are eigenvalues)
- Eigenvalues determine elongation:
 - $\lambda_1 \approx 1.7$ (Large elongation)
 - $\lambda_2 \approx 0.3$ (Small elongation)

$$\rho_{xy} \text{ (Correlation Coefficient)} = \frac{\sigma_{xy}}{\sigma_x \cdot \sigma_y}$$

$$\rho_{xy} = \frac{0.8}{\sqrt{1.0} \cdot \sqrt{0.6}} \approx 1.03$$

High correlation means tighter clustering around the major axis.

1. Mathematical proof (using the Cauchy–Schwarz inequality)

The sample correlation coefficient is

$$r = \frac{\sum_{i=1}^n (x_i - \bar{x})(y_i - \bar{y})}{\sqrt{\sum_{i=1}^n (x_i - \bar{x})^2} \sqrt{\sum_{i=1}^n (y_i - \bar{y})^2}}$$

Define the centered vectors

$$\mathbf{x} = \begin{bmatrix} x_1 - \bar{x} \\ x_2 - \bar{x} \\ \vdots \\ x_n - \bar{x} \end{bmatrix}, \quad \mathbf{y} = \begin{bmatrix} y_1 - \bar{y} \\ y_2 - \bar{y} \\ \vdots \\ y_n - \bar{y} \end{bmatrix}.$$

Then

$$r = \frac{\mathbf{x}^T \mathbf{y}}{\|\mathbf{x}\| \|\mathbf{y}\|}.$$

The Cauchy–Schwarz inequality states that

$$|\mathbf{x}^T \mathbf{y}| \leq \|\mathbf{x}\| \|\mathbf{y}\|.$$

Dividing both sides by the positive denominator,

$$|r| = \frac{|\mathbf{x}^T \mathbf{y}|}{\|\mathbf{x}\| \|\mathbf{y}\|} \leq 1.$$

Hence,

$$-1 \leq r \leq 1.$$

So a correlation greater than 1 would violate a fundamental inequality of vector algebra.

Covariance and Collinearity

Doubt :

Sir, when we say we need to maximize the covariance of $\mathbf{X}$ (with $\mathbf{Y}$) in-order to find latent variable(s)
so here are we ignoring the collinearity in PLS as collinearity will be high in this case ?

Covariance and Collinearity

Rephrasing the question:

By maximizing covariance between $\mathbf{X}$ and $\mathbf{Y}$ (scores), $\mathbf{Y}$ becomes strongly related to $\mathbf{X}$ and hence '*collinear*' with $\mathbf{Y}$. Does this mean we are ignoring collinearity between $\mathbf{X}$ and $\mathbf{Y}$ as collinearity will be high in this case?

$\mathbf{X}$ and $\mathbf{Y}$ are unchanged. There may be strong collinearity within $\mathbf{X}$ which makes linear regression infeasible.

Even in linear regression, strong strength of linear relationship (correlation) between $\mathbf{X}$ and $\mathbf{Y}$ is welcomed so that a good fit is achieved.

You put all $\mathbf{X}$ in one matrix but $\mathbf{X}$ and $\mathbf{Y}$ are separate matrices

Just as $X'X$ matrix become singular due to strong collinearity why can't $X'Y$ matrix become singular due to high correlation?

This is an excellent question. The key point is that **singularity is defined only for square matrices**.

1. Why can $X^T X$ become singular?

Suppose X is an $n \times p$ predictor matrix.

Then

$$X^T X$$

is a $p \times p$ square matrix.

If two or more columns of X are linearly dependent (perfect multicollinearity), then

$$\text{rank}(X) < p,$$

and consequently,

$$\det(X^T X) = 0.$$

Thus $X^T X$ is singular and cannot be inverted.

This is why ordinary least squares fails.

Covariance and Collinearity

2. What about $X^T Y$?

If Y is a single response,

Y is $n \times 1$,

so

$$X^T Y$$

is a $p \times 1$ **vector**, not a square matrix.

A vector **cannot be singular or nonsingular** because singularity is defined only for square matrices

Even if X and Y are perfectly correlated,

$$X^T Y$$

simply contains large inner products. Nothing becomes non-invertible.

3. If there are multiple responses?

Suppose

$$Y : n \times k.$$

Then

$$X^T Y$$

is a $p \times k$ matrix.

Again, unless $p = k$, it is not even square.

Even if it happens to be square ($p = k$), the invertibility of $X^T Y$ is **not** what determines whether regression can be solved. Ordinary least squares never requires inverting $X^T Y$.

Instead, the regression coefficients are

$$\hat{B} = (X^T X)^{-1} X^T Y.$$

The only matrix that must be inverted is $X^T X$.

A useful rule

- Among predictors ($X-X$) → use **collinearity** or **multicollinearity**.
- Between predictors and response ($X-Y$) → use **correlation**, **association**, or **linear relationship**.

Recommended wording

Instead of:

"PLS maximizes the collinearity between X and Y ."

say:

"PLS maximizes the covariance (or correlation) between the latent scores derived from X and Y ."

or

"PLS seeks latent variables from X that have the strongest linear relationship with the latent variables from Y ."

These are the standard and technically correct ways to describe what PLS is doing.

Covariance and Collinearity

$\mathbf{X}$ and $\mathbf{Y}$ are unchanged. There may be strong collinearity within $\mathbf{X}$ which makes linear regression infeasible. In PLS we are talking about (cor)relationship *between* $\mathbf{X}$ and $\mathbf{Y}$.

As told in class we are finding relation between $\mathbf{X}$ and $\mathbf{Y}$ through $\mathbf{T}$ i.e., we express $\mathbf{Y}$ in terms of $\mathbf{T}$.

While $\mathbf{X}$ may be **collinear**, the components of $\mathbf{T}$ ($t_1, t_2, \dots, t_a$) are **orthogonal**.

Hence the $\mathbf{T}$ matrix does not suffer from singularity issues when you related $\mathbf{T}$ to $\mathbf{Y}$.

PLS transforms

$$X \rightarrow T$$

where

$$T = [t_1, t_2, \dots]$$

The score vectors satisfy

$$t_i^T t_j = 0, \quad i \neq j.$$

Thus the latent variables are orthogonal.

Instead of regressing on highly correlated original variables

$$X_1, X_2, \dots, X_p,$$

we regress on uncorrelated scores

$$t_1, t_2, \dots$$

which eliminates the numerical instability caused by multicollinearity.

PLS also forms

$$u_1, u_2, \dots$$

from Y.

The first pair (t_1, u_1) has maximum covariance.

After extracting this pair, both X and Y are deflated, and the next pair is computed from the residual information.

So PLS does **not** simply make everything highly correlated; it successively extracts independent latent dimensions that explain the shared variation.

Relationship

Collinearity among X variables

Correlation between X and Y

Correlation among latent X scores

Correlation between each latent X score and
its corresponding latent Y score

So, although the extracted score t is made highly correlated with the corresponding response score u , the original collinearity among the predictors has been transformed into a stable set of orthogonal latent variables. This is why PLS can successfully handle highly collinear predictor data while still maximizing predictive power.

Relationship	Desired?	Why?
Collinearity among X variables	No	Causes unstable regression coefficients
Correlation between X and Y	Yes	Enables accurate prediction
Correlation among latent X scores	No	Scores are orthogonal after extraction
Correlation between each latent X score and its corresponding latent Y score	Yes	This is the optimization objective of PLS

So, although the extracted score t is made highly correlated with the corresponding response score u , the original collinearity among the predictors has been transformed into a stable set of orthogonal latent variables. This is why PLS can successfully handle highly collinear predictor data while still maximizing predictive power.

Covariance and Collinearity

Rephrasing the question:

By maximizing covariance between **X** and **Y** (scores), **Y** becomes strongly related to **X** and hence collinear with **Y**. Does this mean we are ignoring collinearity between **X** and **Y** as collinearity will be high in this case?

Answer:

In PLS we want to find suitable directions for the factors/latent variables/components.

We maximize covariance between the **X** and **Y** scores. **$T = Xw$** and **$U = Yq$**

We find (principal) components in PCA that maximize the variance in **X** alone.

In PLS we find the components by maximizing the covariance involving **X** and **Y**.

In PCA you have no **Y** just **X**.

In PLS and PCA you find directions of maximum variance or covariance. IN PLS the **direction of the latent variables (factors) identified** is based on maximizing covariance between **X** and **Y** which gives PLS its predictive power.

a

Covariance and Collinearity

Rephrasing the question:

Then how and where does PLS2 maximize the covariance between X and Y ?

Answer:

Taking a step back we find (principal) components in PCA that maximize the variance in X alone.

In PLS we find the components by maximizing the covariance involving X and Y .

In PCA you have no Y just X .

In PLS and PCA you find directions of maximum variance or covariance. IN PLS the **direction of the latent variables (factors) identified** is based on maximizing covariance between X and Y which gives PLS its predictive power.